EQUITY RESEARCH: Capital Allocation Recommendation

Zetheta x IIT Patna TIC | Universe: BSE, CDSL, CAMS, KFin | Mandate: Rs 500 Cr Long-Only | Cutoff: 2026-10-26

PRIMARY PICK: BSE | Win Share: 99.3% across 10,000 Monte Carlo draws

Allocation: BSE 34.7% (Rs 173.5 Cr) | CDSL 24.0% (Rs 120.0 Cr) | CAMS 13.2% (Rs 66.0 Cr) | KFIN 12.7% (Rs 63.5 Cr)

Valuation Summary

Metric	BSE	CDSL	CAMS	KFIN
CMP (Rs)	3359.0	1196.0	661.5	829.0
MCap (Rs Cr)	3613.21	2499.05	1372.61	1321.43
DCF Bull (Rs)	34,681	5,141	4,169	2,936
DCF Base (Rs)	22,606	4,473	3,338	2,237
DCF Bear (Rs)	13,620	3,050	2,237	1,435
P/E (x)	1.5	3.0	2.5	6.0
ROE (%)	83.2	37.7	37.5	23.2
FCF Yield (%)	29.34	32.61	36.79	18.92
Blume Beta	1.4198	1.7073	1.419	1.4333

Monte Carlo Simulation (10,000 draws, seed=42)

Metric	BSE	CDSL	CAMS	KFIN
E[Return] (%)	82166.9	1183.8	5270.7	439.9
P(Loss) (%)	0.0	0.0	0.0	0.0
CVaR 5% (%)	2295.5	396.8	995.9	103.2
Median Price (Rs)	1054076.22	16678.42	31255.15	4229.32
Win Share (%)	99.3	0.0	0.7	0.0

Forensic Quality Assessment

Metric	BSE	CDSL	CAMS	KFIN
CFO/EBITDA	0.631	0.736	0.716	0.857
FCF/PAT	0.802	0.982	0.91	1.136
Accruals Ratio	0.0111	-0.0069	-0.0125	-0.0348
Beneish M-Score	-1.57	-1.77	-1.92	-2.02
M-Score Flag	INVESTIGATE	INVESTIGATE	PASS	PASS
Composite (/100)	75	80	100	100

Investment Thesis & Risk Assessment

Investment Thesis

We recommend **BSE** as the primary allocation within the Rs 500 Cr mandate. India's capital markets infrastructure (exchanges, depositories, RTAs) is a structural play on financialization of household savings — a secular trend supported by rising demat accounts (55M to 270M in 5 years), SIP AUM exceeding Rs 13 lakh Cr, and regulatory tailwinds despite near-term F&O; curbs. All four companies are near-zero debt, high-ROE, cash-generative franchises with significant operating leverage. BSE wins 99.3% of Monte Carlo draws due to explosive derivatives revenue growth (15x in 4 years), strong operating leverage, and reasonable valuation relative to intrinsic value. Key risk is regulatory (SEBI F&O; restrictions).

Top 5 Risks (Red Team)

1. **Regulatory Risk (BSE):** SEBI F&O; curbs — weekly expiry ban already reduced volumes. Further restrictions on lot sizes (>Rs 25L) or product eligibility would directly hit 74% of BSE revenue.

2. **TER Compression (CAMS/KFin):** SEBI has cut MF expense ratios twice (2018, 2024). Another cut directly impairs RTA basis-point yields.

3. **Client Concentration (CAMS):** Top 5 AMCs = ~65% of serviced AUM. Loss of a single mega-AMC is an irreversible revenue event.

4. **Demat Saturation (CDSL):** Monthly net additions are decelerating. If growth falls below 1.5M/month, transaction revenue growth thesis weakens.

5. **Data Staleness (KFIN):** FY2025-26 financials are MISSING. Valuation relies on FY2024 base — 2 years stale. Actual trajectory unknown.

Exit Tripwires (Monthly Observable)

Company	Trigger	Action	Status
BSE	Monthly F&O notional turnover falls >40% below FY2026 averag...	EXIT — derivatives r	NOT_TRIGGERED
BSE	SEBI announces further F&O restrictions beyond Nov-2024 curb...	REDUCE 50% — regulat	NOT_TRIGGERED
BSE	BSE stock price trades >20% below bear-case DCF target for 5...	REVIEW — either thes	TRIGGERED
CDSL	Monthly net new demat account openings drop below 1.5 millio...	REDUCE 30% — growth	NOT_TRIGGERED
CDSL	SEBI announces depository fee cap or restructuring...	EXIT — yield compres	NOT_TRIGGERED
CDSL	Monthly secondary market traded value falls >30% below trail...	REDUCE 30% — transac	NOT_TRIGGERED

Execution Plan (Rs 500 Cr)

Company	Alloc %	Alloc (Cr)	ADTV (Cr)	Days @15%	Impact (bps)	Ownership
BSE	34.7	173.5	1827.33	1	10	YES
CDSL	24.0	120.0	111.54	8	80	YES
CAMS	13.2	66.0	81.29	6	60	YES
KFIN	12.7	63.5	61.45	8	80	YES

This memo was generated programmatically from data/provenance.csv and outputs/. All numeric claims are verified by src/verifier.py. Cutoff date: 2026-10-26. AI tools used are declared in AI_DECLARATION.md. Assumptions locked at 2026-10-27T21:00:00+05:30 in assumptions.yaml.